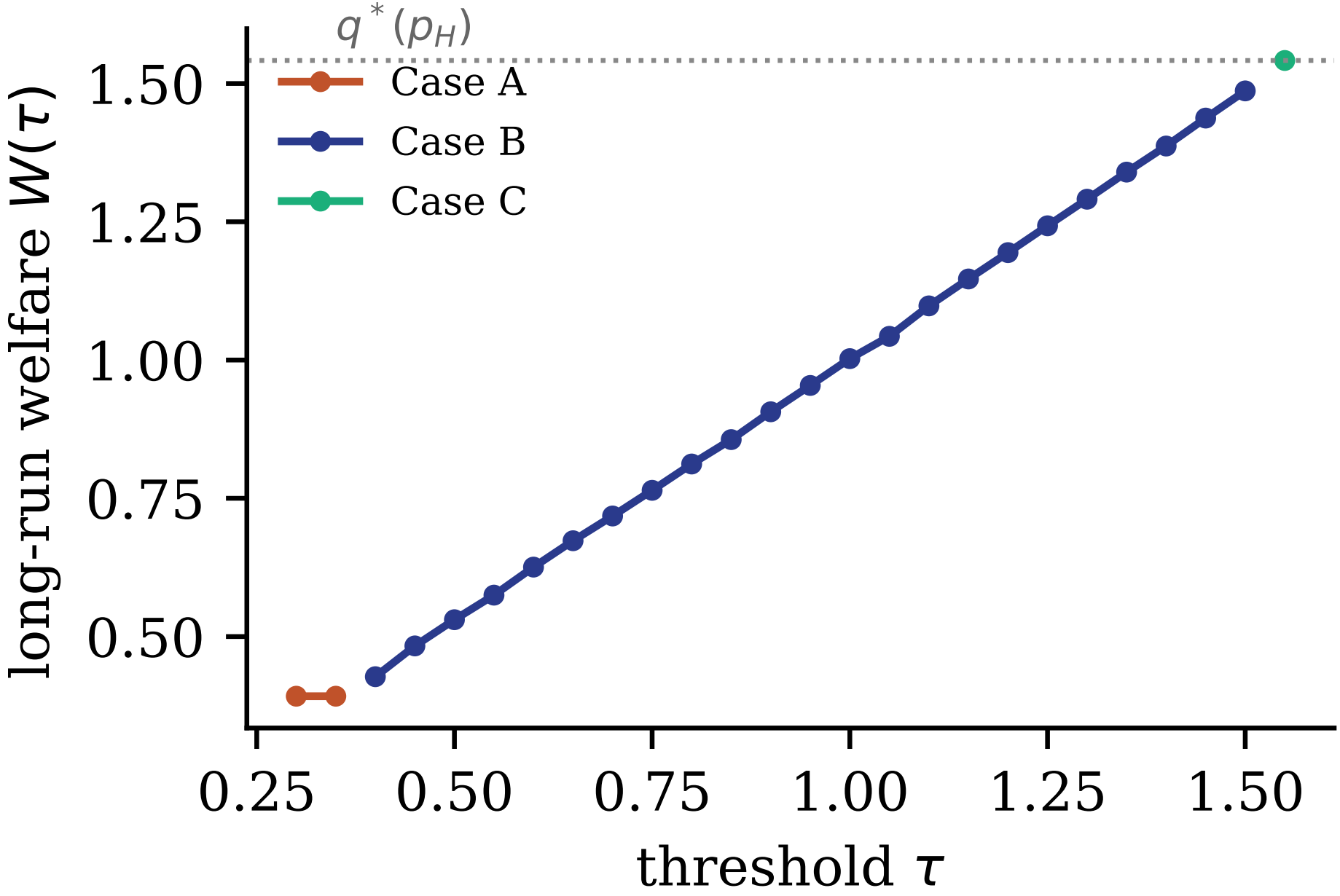
$q^*(p_H)$
Case A
Case B
Case C
1.50
1.25
1.00
0.75
0.50
long-run welfare $W(\tau)$
0.25
0.50
0.75
1.00
1.25
1.50
threshold τ